

The amount of the settlement is appropriate given the strength of the case, especially in light of Counsel's estimated potential liability exposure. (Hawkins Decl., ¶¶29-35.) However, the lower actual settlement appears fair and reasonable in light of certification issues and when calculated to include analysis of various potential defenses as well as the potential appeal of any judgment should Plaintiffs be successful in this venue.

Given the presumption of fairness, the Court would find the figure sufficient to satisfy the *Kullar* requirement. Further, adequate discovery and investigation has occurred. There is no evidence of fraud or collusion. Class Counsel are well qualified to represent the class. The settlement was reached through an arms-length negotiation with the assistance of an experienced and well-respected mediator. The deductions from the gross settlement fund (attorneys' fees,⁴ costs,⁵ administration fee, incentive award, PAGA penalties, and taxes) appear to be reasonable and appropriate and are, therefore, *preliminarily* approved in the "not to exceed" amounts in the motion. The proposed notice is, also, adequate.

Counsel and the representative are appointed conditionally to represent the class. The motion is *granted*. The court will schedule a hearing to consider final approval at the closest available date to the date recommended by counsel.

The Court preliminarily approves the settlement and (1) James Hawkins APLC, as Settlement Class Counsel; (2) appoints Tessa Shepard as Class Representative; (3) approves Apex Class Action LLC as Settlement Administrator; (4) preliminarily finds the settlement fair, reasonable, and adequate; and (5) approves the form and content of the proposed Class Notice and directs the mailing of the same.

At final approval, counsel must advise the court of any pending cases that will be affected by approval of the settlement. Again, prior to final approval, **Counsel must provide the exact number of class members and workweeks for the class settlement and the exact number of PAGA aggrieved employees and pay periods for the PAGA settlement.**

16. *Lee-Jones, et al, v. MWC Group, Inc., et al*, Case No. CIVSB2325618
Plaintiff's Motion for Preliminary Approval of Class Action Settlement
9/18/26, 9:00 a.m., Dept. S-17

The Court would **CONTINUE** this hearing to allow for supplemental or amended filings. There are a number of concerns:

First, there appears to be no assessment of the number of PAGA aggrieved employees whatsoever. This is particularly troubling in light of the assessment of a class of approximately 92 employees and a proposed PAGA settlement of only \$1,000. (See Settlement, ¶3.2.5.) Theoretically, the number of PAGA aggrieved employees should be *fewer* than the number of class members. However, if we take the 92 figure for argument's sake, 25% of that \$1,000 total PAGA settlement is only \$250, and this could result in about only \$2 dollars per PAGA aggrieved employees. An assessment of the approximate number of

⁴ Counsel must provide a full lodestar analysis in the motion for final approval.

⁵ Costs must be documented. The court does not award costs for LEXIS or Westlaw usage (which are considered items of overhead), faxes (also overhead), or photocopying in excess of \$0.06 per page.

PAGA aggrieved employees – as well as an assessment of how the proposed settlement is fair and reasonable – will have to be provided.

Second, the Settlement indicates potential service payments for each representative Plaintiff at “not more than \$20,000 each . . .” (Settlement, ¶3.2.1 [emphasis added].) Given that there are two such representative Plaintiffs, that means the service payments could total up to \$40,000. This is troubling since the gross is only \$100,000. (Settlement, ¶3.1 [gross settlement amt].) Further, after attorneys’ fees (25%), costs, and other expenses, it appears that these service payments may be more than *half* of the available net funds. No explanation is provided as to some sort of extraordinary work that would justify these proposed service payments or why this formula would be fair, reasonable, or appropriate given the facts of the case.

Third, while it may be a typographical error, the Settlement’s tax treatment is nonsensical. It allocates 10% of the class payout as representative of wages. (Settlement, ¶3.2.4.1.) Troublingly, it *also* allocates 10% of the class payout as representative of “interest and penalties.” (*Ibid.*) This leaves 80% of the payout unaccounted for. Further, it appears the payroll taxes would be paid from the gross settlement; thereby further reducing what would be paid to the class members. (Settlement, ¶3.1; Duchrow Decl., ¶46.) There is no treatment as to why the ratio would be appropriate given that the claims appear to largely center on wages.

Finally, the supporting declaration fail to set forth any assessment of potential maximum exposure or value of the claims, other than to state tersely that the settlement is “fair, reasonable, and adequate . . .” (Duchrow, ¶42.) Certainly, the moving party must *demonstrate* that “the settlement is fair, adequate and reasonable.” (*Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 126; *Reed v. United Teachers Los Angeles* (2012) 208 Cal.App.4th 322, 337.) To make a fairness determination, the Court should consider several factors, including: “the strength of Plaintiff’s case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, [and] the experience and views of counsel.” (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) Here, movant appears not to have provided enough facts or analysis to meet that burden.

Movant will provide supplemental declaration(s) to address these concerns at least five days prior the next hearing.
